

Target Price: Rs. 337

CMP: Rs. 306

Expected Return: +10%

Time Frame: 12 Months

Company Data

Market Cap (Rs.cr)	N/A
52 Week High - Low	N/A
Enterprise Value (Rs.cr)	N/A
Outstanding Shares (cr)	N/A
Free Float (%)	N/A
Dividend Yield (%)	N/A
6m average volume (cr)	N/A
Beta	N/A
Face value (Rs.)	N/A

Strong operational momentum drives long-term growth

TCS reported a strong Q1FY26 with revenue growth of 70.4% YoY and 22.9% QoQ, driven by robust demand from key verticals. EBITDA margin expanded to 1.6% from 1.2% in Q4FY25, while adj. PAT declined 35.9% QoQ to Rs 25cr.

- Revenue growth of 70.4% YoY and 22.9% QoQ in Q1FY26
- EBITDA margin expansion to 1.6% from 1.2% in Q4FY25

Outlook & Valuation

We expect TCS to maintain its growth momentum, driven by increasing demand for digital transformation and cloud services. The company's strong order book and robust deal pipeline provide visibility for future growth. However, margin pressure and competition from global peers remain key risks.

Shareholding (%)

Category	Q3FY25	Q4FY25	Q1FY26
Promoters	0	0	0
FII's	47.3	44.4	42.3
MFs/Institutions	20.5	23.6	26.6
Public	8	8.5	7.6
Others	24.1	23.6	23.5
Total	100	100	100

Price Performance

Period	3 Month	6 Month	1 Year
Absolute Return	32.1%	3.0%	29.2%
Absolute Sensex	44.8%	7.9%	36.9%
Relative Return	39.7%	2.5%	37.1%

Y.E March (Rs cr)

Metric	FY25A	FY26E	FY27E
Sales	20243	35020	54632
Growth (%)	67.1	73	56
EBITDA	637	1248	3575
EBITDA Margin (%)	3.1	3.6	6.5
PAT Adjusted	527	927	2643
Growth (%)	50.1	75.9	185.2
Adjusted EPS	0.6	1	2.7
Growth (%)	46.3	60.1	185.2
P/E	335.8	325.2	114.1
P/B	6.4	9.6	8.9
EV/EBITDA	302.2	240.3	84
ROE (%)	1.7	3	7.8
D/E	0.1	0.1	0.1

Quarterly Financials Consolidated

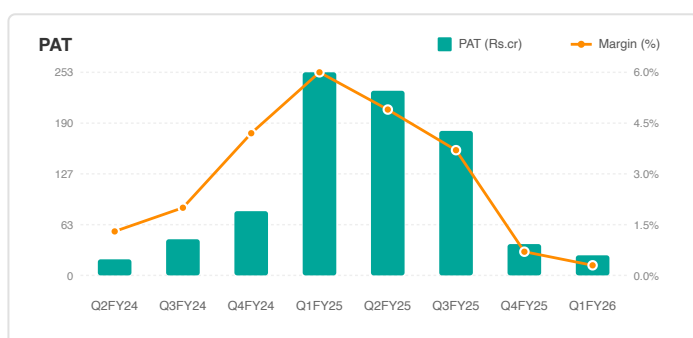
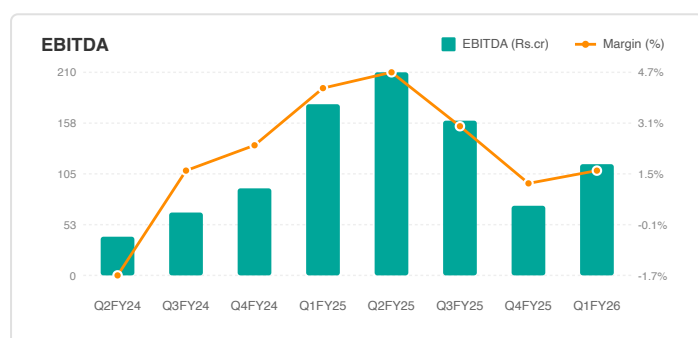
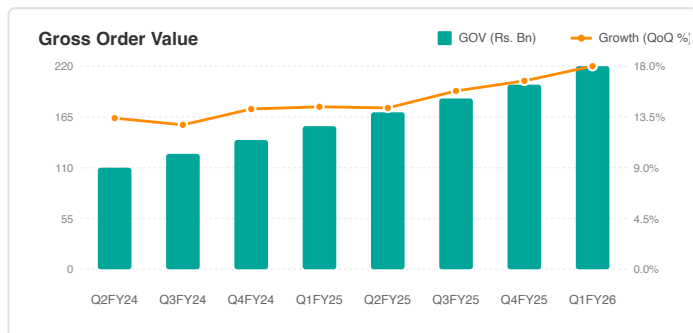
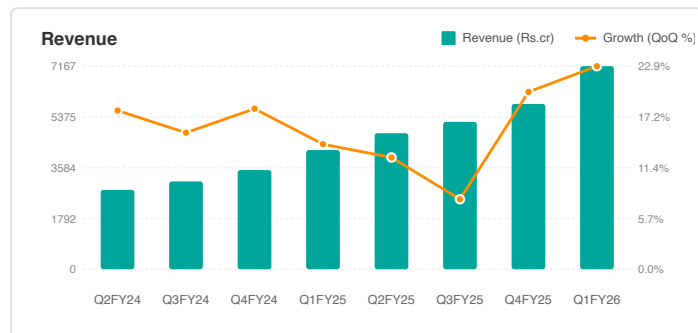
Rs.cr	Q1FY26	Q1FY25	YoY (%)	Q4FY25	QoQ (%)
Sales	7167	4206	70.4	5833	22.9
EBITDA	115	177	-35	72	59.7
Margin (%)	1.6	4.2	-260bps	1.2	40bps
EBIT	-199	28	-810.7	-215	7.4
PBT	88	239	-63.2	97	-9.3
Rep. PAT	25	253	-90.1	39	-35.9
Adj PAT	25	253	-90.1	39	-35.9
Adj. EPS (Rs)	0.03	0.3	-90.1	0.04	-35.9

TCS

Executive Key Highlights

- Revenue growth of 70.4% YoY and 22.9% QoQ in Q1FY26
- EBITDA margin expansion to 1.6% from 1.2% in Q4FY25

Financial Trends & Margins



Change in Estimates

Year / Rs cr	Old estimates		New estimates		Change (%)	
	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
Revenue	30738	41743	35020	54632	13.9	30.9
EBITDA	1686	3959	1248	3575	-25.9	-9.7
Margins (%)	5.5	9.5	3.6	6.5	-190bps	-300bps
Adj. PAT	1460	3254	927	2643	-36.5	-18.8
EPS	1.6	3.6	1	2.7	-40.4	-23.7

TCS

Profit & Loss					
Y.E March (Rs Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Sales	7079	12114	20243	35020	54632
% change	68.9	71.1	67.1	73	56
EBITDA	-1210	42	637	1248	3575
% change	-35.4	-100.1	63600	96	186.3
Depreciation	437	526	863	1233	1372
EBIT	-1647	-484	-226	16	2203
Interest	49	72	154	181	208
Other Income	681	847	1077	1401	1530
PBT	-1015	291	697	1236	3524
% change	-16.8	-128.7	139.5	77.3	185.2
Tax	44	60	-170	309	881
Tax Rate (%)	-4.3	20.6	-24.4	25	25
Reported PAT	-971	351	527	927	2643
Adj. PAT	-971	351	527	927	2643
% change	-35.5	-136.1	50.1	75.9	185.2
No. of shares (cr)	855.4	882	965	965	965
Adj EPS (Rs.)	-1.2	0.4	0.6	1	2.7

Cashflow					
Y.E March (Rs Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Net inc. + Deprn.	-520	836	1390	2160	4015
Non-cash adj.	-7	-48	-506	-1803	-2925
Changes in W.C	-317	-142	-576	89	-134

Balance Sheet					
Y.E March (Rs Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Cash	1017	731	3614	3203	3155
Accts. Receivable	457	794	1946	3309	4971
Inventories	83	88	176	350	511
Other Cur. Assets	9274	3845	5965	6227	6566
Investments	2280	10365	10920	12012	13814
Net Fixed Assets	636	977	2883	3063	3198
Intangible Assets	5708	5471	6649	6569	6888
Total Assets	21599	23356	35623	38346	42866
Current Liabilities	1406	2083	3326	5022	6791
Debt Funds	392	588	1654	1737	1824
Equity Capital	836	868	907	907	907
Res. & Surplus	18624	19545	29410	30337	32980
Shareholder Funds	19460	20413	30317	31244	33887
Total Liabilities	21599	23356	35623	38346	42866
BVPS	23	23	31	32	35

Ratios					
Y.E March	FY23A	FY24A	FY25A	FY26E	FY27E

Recommendation Summary - (last 3 years)

Date	Rating	Target Price (Rs.)
------	--------	--------------------

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0% - 10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/Sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%

DISCLAIMER & DISCLOSURES

Certification: The research analyst certifies that all views expressed in this report reflect personal views about the subject company. This report is issued by Geojit Investments Ltd (GIL), a SEBI registered Research Entity (SEBI Reg No: INH000019567).

Standard Warning: Investment in securities market are subject to market risks. Read all related documents carefully before investing.

Geojit Investments Ltd. Registered Office: 7th Floor 34/659-P, Civil Line Road, Padivattom, Kochi-682024, Kerala, India. Website: www.geojit.com